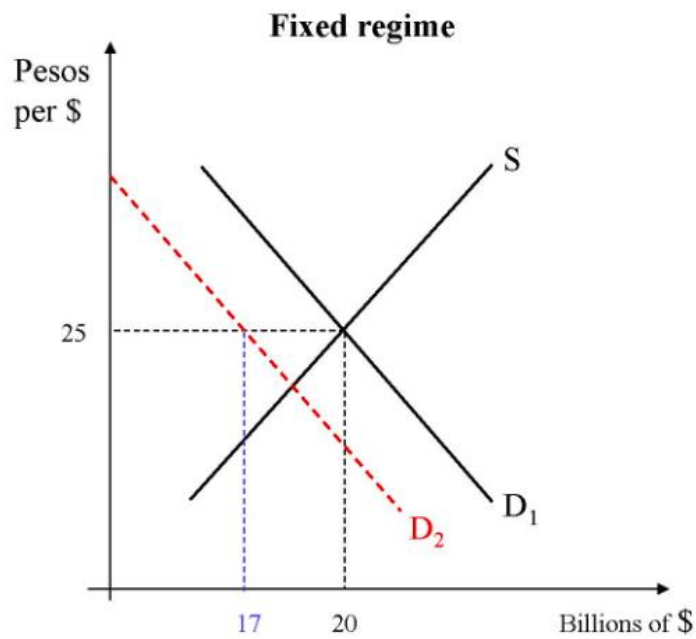


Homework 2

Due Wednesday, May 18

1. Explain briefly the difference between 1) payment tokens; 2) utility tokens; 3) security tokens.
2. What is the process of tokenization?
3. What is a stable coin? Describe the mechanism that insures the stability of a stable coin.
4. Suppose that Banco of Mexico is trying to keep the exchange rate Peso/Dollar at 25 (25 Pesos to buy one Dollar). The graph below plots the demand and supply of Dollars in exchange of Pesos. Suppose that the demand of dollars shifts from D_1 to D_2 . What does Banco of Mexico need to do to keep the exchange rate at 25?



5. Explain why reserves are important for both stablecoins and for maintaining fixed exchange rates in foreign currencies. What is the risk of not having reserves?
6. Facebook in collaboration with other well-known businesses planned to launch a new kind of stable coin called "libra". The libra has not been introduced yet. Why do you think the introduction of the libra has been problematic?
7. What is an asset-backed token?
8. Briefly define 1) bond-like tokens; 2) share-like tokens; 3) project-funding tokens.